change. In fact, in this day of high-speed telecommunications, money managers quickly react—and overreact—to recent events with frightening unanimity. Long-term thinking has practically disappeared. Institutions stampede into energy or biotechnology or emerging-market stocks and then stampede out again. Charged up by analysts' optimistic earnings projections, they drive a stock to silly heights, only to rush for the exit when earnings come in even a penny or two below the forecast.

With this kind of skittish institutional activity accounting for such a large percentage of the trading, markets have the potential for greater volatility. Market action can be more herdlike than it was when trading was dominated by thousands and thousands of individuals who woke up in the morning with other things on their minds than what stocks they should buy or sell that day. One might think that a small number of well-trained professionals would value securities quite rationally, so that prices would stay close to equilibrium values at all times and markets would be stable. After all, if you were a passenger in an airplane that frequently changed its course and altitude, then rode in a second plane that cruised along in a steady path, wouldn't you feel that the first pilot was a trainee and the second a pro? For that matter, how did we talk you back into the air for a second flight?

Most portfolio managers are intelligent, careful people who have studied their craft about as long as an airline pilot has; but in a world of instantaneous communication, when all of us hear the same news within seconds, our minds seem to leave our gray-suited bodies and well-appointed offices, and we act just like a herd of zebras who have sensed a pride of lions sneaking up on us. Wham! Off we go in an instant.

We really must be grateful that this herd mentality persists, because if it weren't for these overreactions throwing good stocks on the bargain table, it would be a lot harder for the rest of us to make money.